Such tensions between the state governments and the Centre-appointed governors are not new to India, especially in Opposition-ruled states. Even the appointment of V-Cs has remained a bone of contention in various states, including in neighbouring Kerala, where a similar legislation to curtail the chancellor's powers is in the works.

Sources in the Tamil Nadu government claim that the V-Cs have been promised all possible help in running their universities, as long as they adhere to the DMK dispensation's decisions. The higher education department has asked them to consult the state government before implementing circulars issued by the University Grants Commission and the All India Council for Technical Education (both central bodies) or complying with instructions coming out of the Raj Bhavan.

The V-Cs, reportedly, have also been told to take the state government into confidence before implementing any decision relating to NEP 2020. The DMK has been opposing this central policy since its very inception. In fact, in April this year, just days before the legislative assembly adopted the V-C Bills, the DMK government had appointed an expert committee, headed by a retired Madras High Court judge, to formulate a distinct

THE DMK GOVT'S PUSH FOR A SAY IN V-C SELECTION IS THE LATEST SALVO IN ITS FIGHT FOR FEDERALISM

INDIA-RUSSIA TRADE

A RUPEE-ROUBLE STALEMATE

By M.G. Arun



Illustration by SIDDHANT JUMDE

Two months after the Reserve Bank of India (RBI) authorised Indian banks to open vostro accounts in a foreign partner bank (in this case, Russian) where payments for imports could be made in rupees, the latter remain hesitant to do so, worried as they are about widening western sanctions. A vostro account is one a bank holds on behalf of another bank in a different country. With banks reluctant, and an exchange rate yet to be fixed for a rupee-rouble trade, the stalemate could dampen trade ties between the countries, caution experts.

In March, when the US and other western nations imposed sanctions on Russia after its invasion of Ukraine, several Russian banks were cut off from the SWIFT (Society for Worldwide Interbank Financial Telecommunication) payments system. The idea was to stop Russia from operating worldwide, and effectively block its exports and imports. However, India continued to trade with Russia, and even imported more crude oil from them as it got big discounts at a time when oil prices had hit $130 a barrel on war concerns. It was then that the idea of a rupee-rouble trade between the two countries was mooted.

In 2021-22, India's exports to Russia stood at $3.25 billion (Rs 26,000 crore) while imports were at $9.87 billion (Rs 78,960 crore), leading to a deficit of $6.62 billion (Rs 52,960 crore). This is set to widen further this financial year. India's crude oil imports from Russia rose over seven times to $3.2 billion (around Rs 25,600 crore) in the April-May 2022 period, compared to the same period a year ago, per commerce ministry data. In July, crude imports from Russia stood at 917,000 barrels a day, around 19 per cent of India's total crude imports in that month, compared to just 2 per cent before the start of the war. As imports from Russia rose, supplies from West Asia, the US and West Africa went down (imports from these regions fell by nearly 20 per cent in May-July over the January-March period). Russian crude was offered at a discount of $16 per barrel compared to the Indian crude import basket price of $110 a barrel. This discount narrowed to $14 a barrel in June, and $6 a barrel in August. Media reports say India's biggest oil supplier, Iraq, has undercut Russia since late June, offering a range of crude that, on an average, cost $9 less per barrel compared to Russian crude. Media reports say Moscow is willing to provide oil to India at even lower rates to counter pressure from G7 nations to cap the price of Russian oil. Russia recently cut off its supply of cheap natural gas to Europe, which means it has to sell its products elsewhere, making it imperative to negotiate alternative payment mechanisms with other countries. In 2021, the European Union imported around 155 billion cubic metres of natural gas from Russia.

Experts say India